

The European Union Artificial Intelligence Act

Overview, Scope and Implementation Timeline

1. What is the EU AI Act?

The European Union Artificial Intelligence Act, commonly known as the **EU AI Act**, is a comprehensive regulatory framework designed to govern the development, deployment and use of artificial intelligence within the European Union. Adopted as Regulation (EU) 2024/1689, it entered into force on 1 August 2024.

The main objective of the AI Act is to ensure that AI systems used in the European Union are safe, transparent and respectful of fundamental rights, while at the same time supporting technological innovation and the development of a competitive European AI industry.

One of the central features of the AI Act is its **risk-based approach**. Rather than regulating every AI system in the same way, the regulation imposes different obligations depending on the level of risk associated with a particular use of AI.

At the highest level are **prohibited AI practices**, which are considered incompatible with European values and fundamental rights. These include certain forms of manipulative AI, exploitation of vulnerable people, some forms of social scoring, and certain biometric or predictive policing applications.

The second major category consists of **high-risk AI systems**. These are systems used in areas where an incorrect or discriminatory decision could have significant consequences for individuals. Examples include AI used in education, employment and recruitment, critical infrastructure, access to essential services, law enforcement, migration and certain biometric applications.

Providers of high-risk AI systems face extensive obligations. These include implementing risk-management procedures, ensuring the quality and governance of training data, maintaining technical documentation and logs, providing appropriate human oversight, and meeting requirements concerning accuracy, robustness and cybersecurity.

Other AI systems may be subject mainly to **transparency obligations**. For example, users may need to be informed when they are interacting with an AI system rather than a human being. AI-generated or manipulated content may also need to be identifiable as such.

Finally, the Act establishes specific rules for **general-purpose AI (GPAI) models**. These rules are particularly relevant to powerful models that can be integrated into many different applications. Providers of such models have obligations concerning documentation, information provided to downstream users and compliance with EU

copyright rules. Additional requirements apply to the most advanced models presenting systemic risks.

2. Who does the AI Act apply to?

The AI Act applies to a broad range of actors involved in the AI value chain.

The most important category is **providers**. A provider is generally the organisation that develops an AI system or model, or has it developed, and places it on the market or puts it into service under its own name or trademark. AI developers and technology companies are therefore among the organisations most directly affected by the regulation.

The Act also applies to **deployers**, meaning organisations or individuals using AI systems under their authority in a professional context. A company using an AI recruitment tool, for example, may have obligations even if it did not develop the system itself.

Other actors covered by the regulation include **importers and distributors** of AI systems and, in certain circumstances, manufacturers that integrate AI into products.

The level of responsibility depends on the role played by each organisation. A company developing a high-risk AI system therefore has different obligations from a company that simply uses the system.

The Act is relevant not only to technology companies. Organisations in banking, insurance, healthcare, education, recruitment, transport, public administration and many other sectors may fall within its scope if they develop or use AI systems covered by the regulation.

3. Territorial scope

An important feature of the AI Act is its **extraterritorial reach**.

The regulation does not apply only to companies established within the European Union. It also applies to providers located outside the EU when they place AI systems or general-purpose AI models on the EU market.

In addition, the Act may apply when a provider or deployer is located outside the European Union but the **output produced by an AI system is used within the EU**.

For example, a US-based company offering an AI service to European customers may therefore be subject to the AI Act even if it has no headquarters in the European Union.

This approach is comparable in principle to the territorial logic used in other major EU digital regulations: access to the European market can bring organisations within the scope of European rules regardless of where the organisation itself is established.

The territorial scope of the Act therefore gives it considerable international significance. Global AI providers wishing to operate in the European market must consider European regulatory requirements when designing and deploying their systems.

4. Implementation timeline

The AI Act follows a **progressive implementation schedule** rather than becoming applicable in its entirety on a single date.

The regulation entered into force on **1 August 2024**, twenty days after its publication in the Official Journal of the European Union.

The first important application date was **2 February 2025**. From this date, the provisions concerning prohibited AI practices, definitions and AI literacy began to apply. Organisations were therefore required to avoid the AI practices prohibited by the regulation and to take measures to ensure an appropriate level of AI literacy among relevant staff.

A second major date was **2 August 2025**. From this date, governance provisions and obligations concerning general-purpose AI models began to apply. This date is sometimes associated in simplified presentations of the AI Act with the first major enforcement phase, although the prohibited-practices rules had already become applicable in February 2025.

The central application date was **2 August 2026**. Most provisions of the AI Act became applicable at this stage, and the European Commission's AI Office and national authorities acquired important enforcement powers. Transparency requirements concerning certain AI systems also became applicable.

The timetable for **high-risk AI systems** has evolved. Under the current framework, rules concerning high-risk systems used in areas such as education, employment, biometrics, critical infrastructure, migration and access to essential services apply from **2 December 2027**. High-risk AI systems embedded in certain regulated products have a longer transition period, until **2 August 2028**.

The date **2 August 2027** nevertheless remains relevant for some transitional obligations, including compliance requirements concerning certain general-purpose AI models that were already on the market before 2 August 2025.

The implementation can therefore be summarised as follows:

- **1 August 2024:** AI Act enters into force.
- **2 February 2025:** prohibited AI practices, definitions and AI-literacy provisions begin to apply.

- **2 August 2025:** governance provisions and obligations for general-purpose AI models begin to apply.
- **2 August 2026:** most of the AI Act becomes applicable and major enforcement powers take effect.
- **2 August 2027:** important transitional obligations apply to certain existing GPAI models.
- **2 December 2027:** obligations for many high-risk AI systems become applicable.
- **2 August 2028:** obligations apply to high-risk AI systems embedded in certain regulated products.

Conclusion

The EU AI Act represents a major change in the regulation of artificial intelligence. Its central principle is that **the greater the potential risk created by an AI system, the stronger the regulatory requirements**.

Its scope is broad, covering providers, deployers, importers and distributors, and its territorial reach extends beyond companies physically established in the European Union. Non-European organisations may therefore have to comply with the Act when their AI systems or models are offered in Europe or their outputs are used within the EU.

Because the regulation is being introduced progressively, organisations need to understand not only whether they fall within its scope, but also **which obligations apply to them and when**. The phased implementation between 2024 and 2028 is intended to give companies, public authorities and regulators time to adapt while progressively establishing a comprehensive European framework for trustworthy artificial intelligence.